

How to calculate transfer duty

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Learn how transfer duty and premium duty are calculated on a property's dutiable value. View current rates and thresholds, and calculation examples.

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To calculate how much transfer duty (stamp duty) you will pay, you need to know:

- if you are eligible for a transfer duty [exemption or concession](#)
- the dutiable value of the property you are acquiring, and
- the thresholds and rates that apply.

A legal representative, such as a solicitor or conveyancer, can work with you to calculate the correct amount of duty you owe.

Transfer duty calculator

Use the Transfer of Land or Business Calculator to estimate how much transfer duty you will pay when you purchase or acquire property in NSW.

[Calculate your transfer duty.](#)



Dutiable value of the property

Transfer duty is calculated on the dutiable value of property. This is the higher of:

- the purchase price you agreed to pay, or
- the property's market value.

Market value

The market value of a property is the price for which it may be reasonably sold, free from encumbrances, on the open market.

We do not consider encumbrances when calculating transfer duty, such as a mortgage.

Trading at arm's length

This term describes transactions between unrelated parties who deal with each other independently.

When a property transaction is **at arm's length**, the price paid for the property is usually considered to be the market value of the property.

When valuations are required

You will need to provide formal evidence of property value when:

- there is no consideration for the transaction (consideration is what the seller receives in exchange for transferring the property)
- consideration is non-monetary
- parties are related or associated persons
- there is no selling agent involved in an agreement for sale
- the same legal firms represent both parties
- the transaction involves fractional interests in property, or
- Revenue NSW is not satisfied that the consideration adequately reflects the property's unencumbered value.

When a formal valuation is needed, it must:

- be by a suitably qualified person
- show the full market value of the property in its present condition
- be conducted as at the transaction date or within an acceptable time period, and
- must indicate that an inspection was undertaken.

For more details read [Revenue Ruling DUT 012 v4: Evidence of value requirements and guidelines](#).

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Current thresholds and rates

The thresholds and rates for general transfer duty and premium duty are adjusted each year in line with Consumer Price Index (CPI) changes.

To determine your rate year, use:

- the contract date, or
- the date of transfer if there is no contract.

Transfer duty

Transfer duty is not calculated on a fixed rate, but on a sliding scale of rates based on a property's dutiable value.

The rates for the 2026/2027 financial year are in the table below. View [transfer duty rates from past financial years](#).

Thresholds for dutiable value Transfer duty rates

\$0 to \$18,000	\$1.25 for every \$100 (minimum \$20)
\$18,001 to \$38,000	\$225 plus \$1.50 for every \$100 over \$18,000
\$38,001 to \$103,000	\$525 plus \$1.75 for every \$100 over \$38,000
\$103,001 to \$387,000	\$1,662 plus \$3.50 for every \$100 over \$103,000
\$387,001 to \$1,290,000	\$11,602 plus \$4.50 for every \$100 over \$387,000
Over \$1,290,000	\$52,237 plus \$5.50 for every \$100 over \$1,290,000

First home buyers

If you qualify for the [First Home Buyers Assistance Scheme](#) you will not pay transfer duty on:

- a new or existing property valued at \$800,000 or less, or
- vacant land valued at \$350,000 or less.

Reduced transfer duty rates are available for new or existing property valued under \$1 million and vacant land under \$450,000.

The [First Home Buyer Assistance Scheme Calculator](#) will estimate how much you will save on transfer duty if you meet the Scheme's eligibility requirements.

Foreign buyers

If you are a foreign person and acquire residential-related property in NSW, you may pay surcharge purchaser duty unless you qualify for an exemption or concession.

[Surcharge purchaser duty](#) is calculated on the dutiable value and is paid **in addition** to transfer duty.

Unlike transfer duty, there is a flat rate for surcharge purchaser duty. The current rate is 9% of the dutiable value.

Use the [Surcharge Purchaser Duty Calculator](#) to estimate how much transfer duty and surcharge purchaser duty you will pay.

Premium duty

Premium property duty is a higher duty rate that is payable when you:

- buy a residential property in NSW, and
- the value is above the premium threshold.

The premium threshold and rate for the 2026/2027 financial year is in the table below. View [premium rates from past financial years](#).

Premium threshold for dutiable value	Premium rate
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\$3,870,000	\$194,137 plus \$7.00 for every \$100 over \$3,870,000.
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Residential properties also used for business

The premium rate applies to residential properties only.

If your property value is above the premium threshold and part of it is used for business, we will only use the part that is used for residential purposes when applying the premium transfer duty rate.

Rate for land over 2 hectares

For large residential properties, the premium transfer rate is calculated only on the first 2 hectares of the property, as a proportion of the overall value of the property.

The remainder of your property will be charged at the general rate.

Read [chapter 10 of the Contracts for sale of land and transfers guide](#) for more details.

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Transfer duty calculation examples

The following examples show how:

- dutiable value is determined in common types of property sales, and
- the formulas used to calculate transfer duty.

These examples are based on the transfer duty rates for the 2026/2027 financial year.

Auction purchase – market value equals purchase price

Sarah and Michael attend a competitive auction for a residential property in Yamba.

After spirited bidding, they successfully purchase their home for \$1,350,000.

Analysis

- **Purchase price:** \$1,350,000
- **Market value:** \$1,350,000 (the auction process demonstrates the property's market value, as multiple willing buyers competed in an open market)
- **Dutiable value:** \$1,350,000 (both values are equal)

Outcome

Because the auction was conducted at arm's length with competitive bidding, the purchase price reflects the market value.

Sarah and Michael do not need to provide a valuation.

Calculation

The rate for a property with a dutiable value of \$1,350,000 is \$52,237 plus \$5.50 for every \$100 over \$1,290,000.

The formula for this property is:

$$\$52,237 + (\$1,350,000 - \$1,290,000) \times 0.055 = \$55,537$$

Total transfer duty payable is **\$55,537**.

Pre-auction offer – purchase price exceeds market value – premium duty

A waterfront property in Balmain is scheduled for auction in two weeks with a price guide of \$3.65 - \$3.85 million.

Similar waterfront properties in the street have recently sold at auction for between \$3.6 - \$3.8 million.

Emma falls in love with the property and is worried about losing it at auction. She makes a pre-auction offer of \$4 million, which the vendor accepts immediately, cancelling the scheduled auction.

Analysis

- **Purchase price:** \$4 million (the amount Emma offered to secure the property pre-auction)
- **Market value:** \$3.7 million (based on recent comparable auction results)
- **Dutiable value:** \$4 million (the higher of the two values)

Outcome

The amount she paid to secure the property represents the actual consideration, and Revenue NSW will use this higher amount for calculating duty.

Emma does not need to provide a formal valuation.

Calculation

The dutiable value of this property is over the current premium threshold.

The rate for a property with a dutiable value of \$4,000,000 is \$194,137 plus \$7.00 for every \$100 over \$3,870,000.

The premium duty formula for this property is:

$$\$194,137 + (\$4,000,000 - \$3,870,000) \times 0.07 = \$203,237$$

Total transfer duty and premium duty payable is **\$203,237**.

Family transfer – market value exceeds purchase price

Tuan owns a block of vacant residential land in Nowra valued at \$450,000.

He decides to sell the land to his son, Duy, for \$300,000 so that Duy can build a larger home for a growing young family.

Duy already owns a small apartment with his partner and does not qualify for the First Home Buyers Assistance Scheme.

Analysis

- **Purchase price:** \$300,000 (the amount Duy actually paid)
- **Market value:** \$450,000 (the price the land would fetch in an open market transaction)
- **Dutiable value:** \$450,000 (the higher of the two values)

Outcome

Despite Tuan only paying \$300,000, transfer duty will be calculated on the market value of \$450,000.

Revenue NSW will typically ask for a valuation to determine the market value for transactions that are not conducted at arm's length.

Calculation

The rate for a property with a dutiable value of \$450,000 is \$11,602 plus \$4.50 for every \$100 over \$387,000.

The transfer duty formula for the property is:

$\$11,602 + (\$450,000 - \$387,000) \times 0.045 = \$14,437$

Total transfer duty payable is **\$14,437**.

Need more detailed information?

[Revenue Ruling DUT 012 v4: Evidence of value requirements and guidelines](#) sets out when valuations are required and what types of evidence are acceptable.

[Revenue Ruling DUT 044 v2: Valuation of property – suitably qualified valuer](#) clarifies who the Chief Commissioner considers ‘suitably qualified’ to provide property valuations for transfer duty purposes in NSW.

[Revenue Ruling DUT 033 v2: Consideration for duties transactions](#) outlines how Revenue NSW determines what constitutes ‘consideration’ for transfer duty purposes.

[Revenue Ruling DUT 018: Dutiable transactions over land and improvements](#) clarifies how NSW transfer duty applies to land sales involving building improvements (like house and land packages).

If you are a solicitor, conveyancer or accountant visit the [Property Professionals Resource Centre](#) for access to eDuties and Electronic Duties Return, as well as detailed guides.

Related Information

- [The Home Buyer Assistance Finder](#) helps you assess your eligibility for schemes offered by the NSW Government.
- [How to pay transfer duty](#)
- [How land tax is calculated](#)

Contact us

Call the duties team on [1300 139 814](tel:1300139814) or [+61 2 7808 6916](tel:+61278086916) if you are overseas. Staff are available Monday to Friday, 8.30am to 5.00pm AEST (excluding public holidays).

You can also email duties@revenue.nsw.gov.au. You will receive a response within 10 business days.